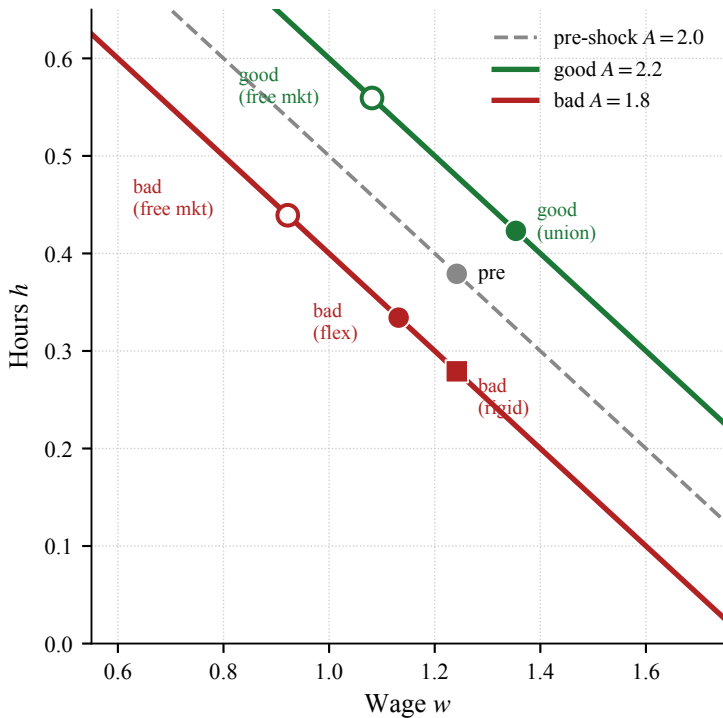
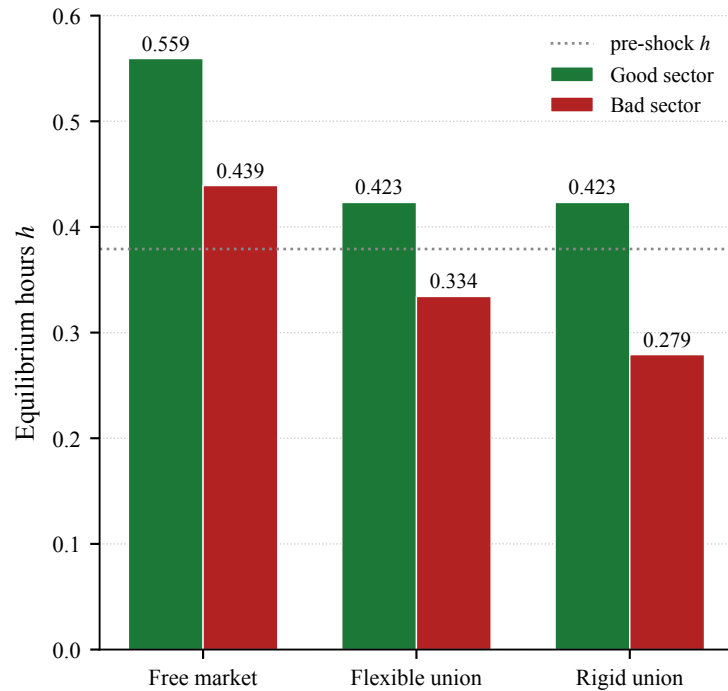


(a) Labour-demand shifts and equilibria



(b) Hours response to $\pm\delta$ shock



(c) Firm profit -- bad sector amplified by rigidity

